

Tech Mahindra Limited

Annual Report FY2024 (Summary)

For the financial year ended March 31, 2024

Registered Office: Gateway Building, Apollo Bunder, Mumbai 400001, India

BSE: 532755 | NSE: TECHM

This document is a summary in annual-report format, compiled from the company's audited consolidated financial results, results press release and investor fact sheet. It is not the company's official annual report. All Rs figures are converted from Rs million to Rs crore and rounded, so totals may differ by 1. 'n.d.' means the figure was not disclosed in the sources used.

Year in Review

FY2024 was a difficult year for Tech Mahindra. Revenue from operations was Rs 51,996 crore, down 2.4% from Rs 53,290 crore in FY2023; in US dollar terms revenue fell 5.0% to USD 6,277 million (down 4.7% in constant currency). Profit attributable to shareholders fell 51.2% to Rs 2,358 crore, and EBITDA margin dropped from 15.1% to 9.5%.

The decline was concentrated in the Communications, Media and Entertainment vertical, historically the company's largest, and was compounded by a provision for onerous contracts and goodwill impairment of Rs 458 crore. Margins recovered through the year, with Q4 EBITDA margin at 10.9%, up 220 bps from Q3.

In the results announcement, CEO Mohit Joshi noted that "FY'24 posed its fair share of challenges for the IT services sector". Net new deal wins for the year were about USD 1.9 billion, and the Board recommended a total dividend of Rs 40 per share for the year.

Company Overview

Tech Mahindra, part of the Mahindra Group, provides technology consulting and digital solutions to global enterprises. At the end of FY2024 it had 145,455 employees serving more than 1,100 clients across over 70 countries. The company was incorporated in 1986 and absorbed the erstwhile Satyam Computer Services with effect from April 1, 2011.

Its services span consulting, IT services, enterprise applications, business process services, engineering, network services, customer experience and design, AI and analytics, and cloud and infrastructure. The company reports two primary segments: IT Services and BPO.

Financial Highlights FY2024

Metric	FY2024	FY2023	Change
Revenue (Rs Crore)	51,996	53,290	-2.4%
Revenue (USD Million)	6,277.1	6,606.5	-5.0%
Net Profit attributable to shareholders (Rs Crore)	2,358	4,831	-51.2%
EBITDA (Rs Crore)	4,965	8,029	-38.2%
EBITDA Margin (%)	9.5%	15.1%	-5.6 pp
Net Profit Margin (%)	4.5%	9.1%	-4.6 pp
Basic EPS (Rs)	26.66	54.76	-51.3%
Free Cash Flow (CFO less capex, Rs Crore)	5,585	4,557	+22.6%
Return on Equity (PAT / closing equity, %)	8.8%	17.3%	-8.5 pp
Net New Deal Wins TCV (USD Billion)	1.90	n.d.	n.d.
Headcount	1,45,455	1,52,400	-4.6%
IT Attrition, LTM (%)	10.0%	15.0%	-5.0 pp

Deal-win TCV for FY2024 is the approximate full-year figure given on the Q4 earnings call; the FY2023 comparable was not in the sources used. Free cash flow and ROE are computed here from the audited statements using the stated definitions.

Revenue Mix by Geography (% of quarterly revenue)

Geography	Q4 FY2024	Q4 FY2023	YoY growth (USD)
Americas	50.8%	49.6%	-4.9%
Europe	24.2%	25.3%	-11.2%
Rest of World	25.0%	25.1%	-7.7%
Total	100%	100%	-7.2%

Tech Mahindra discloses geography as a share of quarterly revenue, so Q4 figures are shown rather than full-year rupee amounts.

Revenue by Business Segment (Rs Crore)

Segment	FY2024	FY2023	Growth
IT Services	44,283	46,097	-3.9%
BPO	7,712	7,193	+7.2%
Total	51,996	53,290	-2.4%

Revenue Mix by Industry (% of quarterly revenue)

Industry	Q4 FY2024	Q4 FY2023
Communications, Media & Entertainment	36.1%	40.1%
Manufacturing	18.2%	15.9%
Banking, Financial Services & Insurance	16.3%	15.9%
Technology	10.7%	10.3%
Retail, Transport & Logistics	7.9%	7.6%
Others	10.8%	10.2%

Consolidated Income Statement (Rs Crore)

Particulars	FY2024	FY2023
Revenue from Operations	51,996	53,290
Other Income	917	965
Total Income	52,912	54,255
Employee Benefit Expenses	29,128	27,692
Subcontracting Expenses	6,689	8,000
Other Expenses	11,214	9,569
Finance Costs	392	326
Depreciation and Amortisation	1,817	1,957
Impairment of Goodwill and Non-current Assets	458	237
Total Expenses	49,699	47,781
Share of Profit/(Loss) of Associates and JV	11	-29
Profit Before Tax	3,224	6,446
Tax Expense	828	1,589
Profit After Tax	2,397	4,857
Less: Non-controlling Interests	39	26
Profit Attributable to Shareholders	2,358	4,831
Other Comprehensive Income	157	315
Total Comprehensive Income	2,554	5,172
Basic EPS (Rs)	26.66	54.76
Diluted EPS (Rs)	26.58	54.54

Consolidated Balance Sheet as of March 31 (Rs Crore)

Particulars	FY2024	FY2023
ASSETS		
Property, Plant and Equipment (incl. CWIP)	2,659	2,946
Right-of-Use Assets	961	1,097
Goodwill	7,511	7,666
Other Intangible Assets (incl. under development)	2,835	3,268
Other Non-current Assets	6,033	6,744
Total Non-current Assets	19,998	21,721
Current Investments	2,779	2,783
Trade Receivables (billed)	7,126	8,142
Unbilled Revenue	4,276	4,739
Cash and Cash Equivalents	4,347	4,056
Other Bank Balances	388	198
Other Current Assets	4,509	4,513
Total Current Assets	23,425	24,433
TOTAL ASSETS	43,424	46,153
EQUITY AND LIABILITIES		
Share Capital	441	440
Other Equity	26,228	27,485
Non-controlling Interests	477	470
Total Equity	27,147	28,395
Borrowings (current and non-current)	1,531	1,578
Lease Liabilities	1,006	1,162
Trade Payables	3,785	4,385
Other Liabilities and Provisions	8,724	9,403
Total Liabilities	15,046	16,528
Suspense Account (Net) - see Note 4	1,230	1,230
TOTAL EQUITY AND LIABILITIES	43,424	46,153

Consolidated Cash Flow Statement (Rs Crore)

Particulars	FY2024	FY2023
Profit Before Tax	3,224	6,446
Depreciation and Amortisation	1,817	1,957
Other Non-cash Adjustments	1,283	1,008
Working Capital Changes	1,299	-1,845
Income Tax Paid	-1,247	-1,993
Net Cash from Operating Activities	6,376	5,572
Capital Expenditure	-791	-1,015
Acquisition-related Payments	-749	-1,067
Net Investments and Other	226	1,804
Net Cash from Investing Activities	-1,314	-279
Dividend Paid	-3,917	-4,263
Repayment of Lease Liabilities	-455	-443
Borrowings, Interest and Other	-396	-372
Net Cash from Financing Activities	-4,767	-5,078
Net Increase in Cash	296	215
Exchange Rate Effect	-5	52
Opening Cash Balance	4,056	3,789
Closing Cash Balance	4,347	4,056

Free cash flow in this summary is net cash from operating activities less capital expenditure. The company's own reported free cash flow for FY2024 was USD 676 million.

Management Discussion and Analysis

Revenue Performance: Revenue declined 2.4% in rupee terms to Rs 51,996 crore and 5.0% in US dollar terms to USD 6,277 million. IT Services revenue fell 3.9% to Rs 44,283 crore, while BPO grew 7.2% to Rs 7,712 crore. Communications, Media and Entertainment fell from 40.1% of revenue in Q4 FY2023 to 36.1% in Q4 FY2024, while Manufacturing rose to 18.2%.

Profitability: EBITDA fell 38.2% to Rs 4,965 crore and margin contracted from 15.1% to 9.5%. Other expenses rose 17.2% to Rs 11,214 crore, and the cash flow statement records a Rs 670 crore provision for onerous contracts. Goodwill and non-current asset impairment rose to Rs 458 crore from Rs 237 crore. Profit attributable to shareholders fell 51.2% to Rs 2,358 crore.

Cash Generation: Despite the profit decline, operating cash flow rose 14.4% to Rs 6,376 crore, helped by lower receivables (billed and unbilled receivables fell by Rs 1,481 crore). Cash and equivalents including investments stood at Rs 7,912 crore (USD 949 million) at year end.

People: Headcount fell by 6,945 to 145,455. IT attrition (last twelve months) improved to 10% from 15%, and IT utilisation was 86%. Offshore share of IT headcount rose to 74.8% from 72.8%.

Key Risk Factors

1. Vertical Concentration: Communications, Media and Entertainment remained the largest vertical at 36.1% of Q4 revenue and declined 16.5% year-on-year. Continued weakness in telecom spending would weigh on growth.

2. Currency Risk: In Q4 FY2024, 52.7% of revenue was in USD, 11.3% in EUR, 9.8% in GBP and 4.0% in AUD. The company held hedges of USD 1,937 million, EUR 174 million and GBP 217 million at year end.

3. Client Concentration: The top 10 clients contributed 26% of revenue in Q4 FY2024, and the active client count fell from 1,297 to 1,172 over the year.

4. Impairment and Contract Risk: The company recognised Rs 458 crore of goodwill and non-current asset impairment and a provision for onerous contracts in FY2024. Further write-downs are possible if acquired

businesses underperform.

5. Legacy Litigation: Claims of Rs 1,230 crore by 37 companies relating to alleged advances to the erstwhile Satyam remain pending adjudication (see Note 4).

6. Talent Risk: Retaining and reskilling talent remains critical as the company restructures its portfolio and shifts its delivery mix.

Dividend and Capital Return

Particulars	FY2024	FY2023
Interim Dividend per Share (Rs)	12.00	18.00
Final Dividend per Share (Rs)	28.00	32.00
Total Dividend per Share (Rs)	40.00	50.00
Dividend per Share / Basic EPS	150.0%	91.3%
Dividend Paid in Cash Flow (Rs Crore)	3,917	4,263
Share Buyback (Rs Crore)	Nil	Nil

The Board recommended a final dividend of Rs 28 per equity share of face value Rs 5 (560%) for FY2024, subject to shareholder approval, payable on or before August 9, 2024. Together with the interim dividend of Rs 12 paid in November 2023, the total dividend for FY2024 is Rs 40 per share, exceeding EPS for the year.

Notes to Financial Statements (Selected)

Note 1 - Basis of Preparation: The consolidated results are prepared under Indian Accounting Standards (Ind AS) notified under the Companies (Indian Accounting Standards) Rules, 2015, and were approved by the Board on April 25, 2024.

Note 2 - Impairment: Based on its annual assessment, the company found the recoverable amount of certain cash generating units and other non-current assets to be lower than carrying value and recognised an impairment of Rs 458 crore in FY2024 (FY2023: Rs 237 crore).

Note 3 - Tax: Tax expense for FY2024 is net of reversals of Rs 124 crore relating to earlier periods, following orders received or completion of tax assessments.

Note 4 - Suspense Account (Erstwhile Satyam): Claims of Rs 1,230 crore by 37 companies for alleged advances to the erstwhile Satyam are shown separately as 'Suspense Account (Net)', as required by the High Court in the merger scheme. Management believes, based on legal opinion and lack of documentation, that the claims will not be payable on final adjudication.

Note 5 - Share Capital: During FY2024, 2,611,048 shares of Rs 5 each were allotted on exercise of employee stock options.

Independent Auditor Report

B S R & Co. LLP, the statutory auditor, issued an unmodified opinion on the consolidated financial results for the year ended March 31, 2024.

The audit report includes an Emphasis of Matter on the alleged advances to the erstwhile Satyam Computer Services Limited described in Note 4. The opinion is not modified in respect of this matter.

Sources

Tech Mahindra audited consolidated results, Q4 FY24: insights.techmahindra.com/investors/tml-q4-fy-24-consolidated-results.pdf
Tech Mahindra Q4 FY24 press release: insights.techmahindra.com/investors/tml-q4-fy-24-press-release.pdf
Tech Mahindra Q4 FY24 fact sheet: insights.techmahindra.com/investors/tml-q4-fy-24-fact-sheet.pdf
Tech Mahindra Q4 FY24 earnings call transcript (deal wins); BSE filing confirming B S R & Co. LLP opinion.